BUSINESS LAW — EXAMINATION ANSWERS

Bachelor of Business Administration | Law of Contract, Sale of Goods & Agency

Main laws used: **Contracts Act, 2010 • Sale of Goods and Supply of Services Act, 2018 •** Common law cases

(Paragraphs marked with a grey bar on the left are Ugandan examples.)

Section numbers are those of the Acts as passed (Contracts Act, 2010 & Act 10 of 2018). The 2023 Revised Edition of the Laws of Uganda renumbers them as Cap. 284 and Cap. 292.

QUESTION ONE

(a) Difference between a condition and a warranty — 5 marks

A contract of sale of goods is made up of many promises, called **terms**. In Uganda, the **Sale of Goods and Supply of Services Act, 2018** (which replaced the old Sale of Goods Act, Cap 82) divides these terms into two kinds: **conditions** and **warranties**. Whether a term is a condition or a warranty depends on what the parties intended when they made the contract, and not just on the label they used.

A condition is a main term that goes to the very root of the contract. If it is broken, the buyer loses the main thing he or she bargained for. The innocent party may therefore **reject the goods and treat the contract as ended**, and may also claim damages (money compensation).

A warranty is a less important term that is only side-line (collateral) to the main purpose of the contract. If it is broken, the innocent party can **only claim damages**. He or she must keep the goods and cannot end the contract.

Point	Condition	Warranty
Importance	Goes to the root of the contract.	Side-line / less important term.
Remedy	Reject goods, end contract and claim damages.	Damages only; contract continues.
Effect of breach	Defeats the main purpose of the deal.	Main purpose still achieved.
Can it change?	The buyer may waive it, or choose to treat it as a warranty (s.12).	A warranty can never be treated as a condition.

Authorities: In *Poussard v Spiers (1876)* a singer missed the opening nights of an opera. This was a breach of a condition and the producers could end the contract. In *Bettini v Gye (1876)* a

singer missed only some rehearsals. This was a breach of a warranty, so only damages were allowed.

> **Ugandan example:** Okello orders a brand-new Toyota from a dealer in Nakawa, but is delivered a used, re-painted car. The term "new car" is a condition, so he can reject it. If the car is new but comes without the promised floor mats, that is only a warranty; he keeps the car and claims the cost of the mats.

Note: courts today also recognise "in-between" (innominate) terms, where the remedy depends on how serious the effect of the breach is – *Hong Kong Fir Shipping v Kawasaki (1962)*.

(b) Implied conditions in a contract of sale of goods **20 marks**

Introduction. A contract of sale of goods is an agreement where the seller transfers, or agrees to transfer, ownership of goods to the buyer for money called the price. The old rule of the market was *caveat emptor*, meaning "let the buyer beware": the buyer had to check the goods himself. Because buyers were often cheated, the law now puts certain promises into every sale **automatically**, even if the parties never mentioned them. These are called **implied terms**. The most important ones are conditions, which give the buyer the right to reject the goods. They are now found in the **Sale of Goods and Supply of Services Act, 2018** and they are discussed below.

1. Condition as to title (the right to sell)

In every sale there is an implied condition that the seller has the **right to sell** the goods, or, in an agreement to sell, will have the right when ownership is to pass. If the seller is not the true owner (for example, the goods are stolen), the buyer can recover the whole price, even if he has used the goods for some time. (**Section 13**, Sale of Goods and Supply of Services Act, 2018.)

Rowland v Divall (1923): a man bought a car which turned out to be stolen. After using it for four months, the police took it back to the real owner. He was allowed to recover the full price because he never got what he paid for – ownership.

Niblett v Confectioners' Materials (1921): tins of milk carried the label "Nissly", which broke another company's trade mark. The seller had no right to sell them under that label, so the condition was broken.

> **Ugandan example:** Nakato buys a motorcycle (boda boda) in Kisekka market for UGX 4,500,000. Two months later police at Kawempe impound it because it was stolen from Jinja. Nakato can sue the seller for the full UGX 4.5m because the seller had no right to sell.

Linked to title, section 13 also implies two **warranties**: that the buyer will enjoy **quiet possession** (no one with a better right will disturb him), and that the goods are **free from any charge or encumbrance** (for example, a bank loan secured on a car) not told to the buyer.

2. Condition that goods match their description

Where goods are sold by description, there is an implied condition that the goods will **correspond with the description**. (**Section 14**; it applies to consumer and business sales alike.) "Description" covers what the goods are, their size, quantity, how they are packed, where they come from, and so on. Even small differences can count.

Varley v Whipp (1900): a reaping machine was described as "new the previous year and used to cut only 50 acres". It was in fact very old. The buyer could reject it.

Arcos v Ronaasen (1933): timber was to be half an inch thick, but most of it was slightly thicker. The buyer could reject it, because the goods did not match the description.

Beale v Taylor (1967): a car advertised as a "1200, 1961 model" was really two cars welded together. Even though the buyer saw the car, he relied on the description, so the condition was broken.

> **Ugandan example:** A Mbale hotel orders "Grade 1 Arabica coffee from Bugisu" but receives low-grade Robusta. The goods do not match the description and the hotel can reject them. Equally, if a Kikuubo trader orders sugar in 50 kg bags and receives it in 25 kg bags, the description (packing) is not met.

If a sale is both by sample and by description, the goods must match **both** the sample and the description – *Nichol v Godts (1854)*.

3. Condition as to fitness for a particular purpose

Under **section 15**, the general rule is that there is no implied promise about quality or fitness. However, a condition is implied that the goods will be **reasonably fit for the purpose** where:

1. the buyer tells the seller, openly or by clear implication, the purpose for which the goods are needed;
2. the buyer relies on the seller's skill or judgement; and
3. the goods are of a kind which the seller normally deals in during his business.

Priest v Last (1903): a hot-water bottle burst and injured the buyer's wife. The purpose of a hot-water bottle is obvious, so the buyer did not need to state it. The seller was liable.

Frost v Aylesbury Dairy (1905): milk containing typhoid germs was not fit for drinking, its obvious purpose.

Griffiths v Peter Conway (1939): a woman with very sensitive skin got a rash from a coat. She had not told the seller about her special condition, so the seller was **not** liable.

The condition does not apply where the buyer did not rely on the seller's skill, or where goods are bought by their trade (brand) name in a way that shows the buyer did not rely on the seller.

> **Ugandan example:** A farmer in Masaka visits an agro-input shop and says, "I need a pesticide for fall armyworm on my maize." The shopkeeper recommends a product which

> does nothing to the armyworm and the crop is lost. The farmer relied on the dealer's skill, so the condition of fitness for purpose is broken and he can claim his losses.

4. Condition as to merchantable (satisfactory) quality

Also under **section 15**, where goods are bought by description from a seller who deals in goods of that kind, there is an implied condition that the goods will be of **merchantable quality**. Simply put, the goods must be fit to be sold and used for their normal purpose, in the condition a reasonable buyer would accept at that price.

Grant v Australian Knitting Mills (1936): woollen underwear contained a chemical which gave the buyer a serious skin disease. The goods were not of merchantable quality and were not fit for their purpose.

Wilson v Rickett Cockerell (1954): a bag of coal contained a hidden explosive which blew up. The whole delivery was not of merchantable quality.

Exceptions: there is no such condition (a) for defects the seller pointed out to the buyer before the sale, or (b) where the buyer examined the goods and that examination ought to have shown the defect.

> **Ugandan example:** A shopper in Kampala buys sealed bottled water that turns out to contain dirt and makes her ill. Even though she bought it in a sealed bottle, the seller is liable because the water is not of merchantable quality. The **Uganda National Bureau of Standards (UNBS)** also sets standards that help courts decide what acceptable quality is.

5. Condition in a sale by sample

A sale is by sample when the buyer is shown a small part of the goods and agrees to buy the bulk on that basis. **Section 17** implies conditions that:

- the bulk will **correspond with the sample** in quality;
- the buyer will have a **reasonable chance to compare** the bulk with the sample; and
- the goods will be **free from any defect** making them unmerchantable which would not be obvious on a reasonable look at the sample.

Godley v Perry (1960): a toy catapult broke and injured a boy's eye. The retailer had bought them by sample from a wholesaler and had tested the sample by pulling it. The defect was hidden, so the wholesaler was liable to the retailer.

Drummond v Van Ingen (1887): cloth matched the sample but had a hidden defect that made it useless for making clothes. The seller was liable.

> **Ugandan example:** A Kampala supermarket buys 2,000 kg of rice from a wholesaler in Kikuubo after examining a 1 kg sample. If the delivered rice is mixed with stones and broken grains that were not in the sample, the supermarket can reject the lot.

6. Further points

- **Supply of services:** the 2018 Act also implies (**section 18** and the sections after it) that a service will be carried out with reasonable care and skill, within a reasonable time and for a reasonable charge – e.g. a garage in Katwe that repairs a car.
- **Excluding these terms:** sellers sometimes try to remove these conditions by "no refunds" notices. Courts read such clauses strictly against the seller, and protection is strongest for ordinary consumers.
- **Losing the right to reject:** once the buyer has accepted the goods (e.g. kept them for an unreasonable time or used them as his own), the breach of condition can only be treated as a breach of warranty, so the buyer gets damages only (**section 12**). Under **section 11**, the time of payment is not treated as of the essence unless the contract shows otherwise.

Conclusion. Implied conditions protect buyers, who usually know less about the goods than sellers. They ensure the buyer gets lawful ownership, goods that match what was described or shown, and goods that work. In practice they are vital for Ugandan businesses which buy stock, raw materials and machinery every day.

QUESTION TWO

Ways in which a contract can be brought to an end (discharge) 25 marks

Introduction. Under **section 10(1)** of the **Contracts Act, 2010**, a contract is an agreement made with the free consent of parties who have capacity, for a lawful purpose and with lawful consideration, with the intention to be legally bound. A contract is said to be **discharged** when the duties it created come to an end and the parties are freed from their promises. There are five main ways this can happen: (1) performance, (2) agreement, (3) breach, (4) frustration and (5) operation of law.

1. Discharge by performance

This is the most common and natural way a contract ends: each party does exactly what he promised. The general rule is that performance must be **complete and exact**. In *Cutter v Powell (1795)* a sailor agreed to work on a ship from Jamaica to Liverpool for a lump sum, but died before the trip ended. His widow got nothing because the work was not complete.

Because this rule can be harsh, the courts allow exceptions:

- **Substantial performance:** if the work is almost completely done with only small defects, the party can claim the price less the cost of putting the defects right – *Hoenig v Isaacs (1952)* (a flat decorated with small defects).
- **Divisible contracts:** where payment is due in stages, each stage can be paid for when done.
- **Partial performance accepted freely** by the other party: payment is due for what was accepted. In *Sumpter v Hedges (1898)* the owner had no real choice about taking the half-built buildings, so no payment was due for them.
- **Prevented performance:** where one party stops the other from finishing, the innocent party can claim for work done – *Planché v Colburn (1831)*.
- **Tender (offer) of performance:** if a party properly offers to perform and the other refuses, the offering party is freed – *Startup v Macdonald (1843)*.

> **Ugandan example:** A building contractor agrees to build a shop in Mukono for UGX 80m. He finishes, the owner pays in full, and the contract ends by performance. If the contractor finishes but some tiles are cracked, he can still claim UGX 80m less the cost of replacing the tiles.

2. Discharge by agreement

What the parties created by agreement, they can also end by agreement. This can happen in several ways:

- **Rescission (cancellation):** both parties agree to cancel the contract before it is fully performed. Each gives up their rights, which is the consideration for the cancellation.
- **Novation:** the old contract is replaced by a new one, either between the same parties or with a new party. E.g. a supplier agrees with a Kampala company that its debt will now be paid by the company's parent firm instead.
- **Alteration (variation):** the main terms of the contract are changed by agreement, so the old contract ends and the new terms apply. **Section 67** of the Contracts Act, 2010 allows rights and duties to be varied by express agreement.
- **Accord and satisfaction:** where one party has performed and the other agrees to accept something different in place of what was due. The "accord" is the agreement; the "satisfaction" is the new consideration.
- **Waiver / release:** one party freely gives up his rights under the contract. A promise to give up rights generally needs consideration or must be made by deed.
- **Terms in the contract itself:** the contract may say it ends on a fixed date or after a notice period. For example, an employment contract may end by one month's notice, or a tenancy may say it ends on 31st December.

> **Ugandan example:** A tenant renting a shop on Kampala Road and her landlord both agree to end the 3-year lease after one year because she is relocating to Gulu. The lease ends by mutual agreement.

3. Discharge by breach

A breach happens when a party fails, without a lawful excuse, to do what the contract requires. Not every breach ends the contract; only a serious breach (breach of a condition, or one which deprives the innocent party of substantially the whole benefit) gives the innocent party a choice to end the contract. A breach can be:

- **Actual breach:** the failure happens on or after the date performance is due – e.g. goods not delivered on the agreed date, or delivered in a defective state.
- **Anticipatory breach:** before the due date, a party clearly says, or shows by conduct, that he will not perform. The innocent party may sue at once without waiting. In *Hochster v De La Tour (1853)* an employer told a courier in May that he would not need him for a job starting in June. The courier could sue immediately. In *Avery v Bowden (1855)* the innocent party waited, war broke out and the contract was frustrated, so he lost his right to sue – showing the risk of waiting.

The innocent party may choose to (a) accept the breach, treat the contract as ended and claim damages, or (b) keep the contract alive. Damages are assessed under **section 61** of the Contracts Act, 2010, which follows *Hadley v Baxendale (1854)*: the injured party gets compensation for

loss caused by the breach, but not for remote and indirect loss. The Court of Appeal applied section 61 in *Kibyami v Mission & Relief Transport (2010)*.

> **Ugandan example:** A school in Mbarara contracts a supplier to deliver 500 desks by 1st February, the start of term. In January the supplier writes saying he has "closed business and will not deliver". The school can treat the contract as ended immediately and sue for the extra cost of buying desks elsewhere.

4. Discharge by frustration

A contract is frustrated when, after it is made, an event occurs which is **not the fault of either party** and which makes performance impossible, illegal, or radically different from what the parties agreed to. The contract then ends automatically and both parties are freed. In Uganda this is set out in **section 66** of the Contracts Act, 2010, which also lets the court decide what happens to money already paid and to expenses incurred before the frustrating event. Examples include:

- **Destruction of the subject matter:** *Taylor v Caldwell (1863)* – a music hall hired for concerts burnt down before the concerts.
- **Death or serious illness** in a personal contract: *Condor v Barron Knights (1966)* – a drummer fell ill and could not play as required.
- **Change in the law (supervening illegality):** where a new law makes the contract illegal – *Fibrosa v Fairbairn (1943)* (war made delivery to Poland illegal).
- **The main purpose disappears:** *Krell v Henry (1903)* – a room was hired to watch the King's coronation parade, which was cancelled.
- **Government action / long delay:** *Metropolitan Water Board v Dick Kerr (1918)* – government stopped the work during war.

Limits: a contract is **not** frustrated merely because it has become more expensive or difficult – *Davis Contractors v Fareham UDC (1956)*; or where the party caused the event himself (self-induced) – *Maritime National Fish v Ocean Trawlers (1935)*; or where the contract already provides for that event (e.g. a *force majeure* clause).

> **Ugandan example:** In March 2020 the Government of Uganda imposed a COVID-19 lockdown banning public gatherings. A couple who had booked a hall in Ntinda for a wedding with 600 guests found that the wedding could not legally take place. The contract was frustrated. Similarly, a market stall contract would be frustrated if the market burnt down, as happened at Owino (St. Balikuddembe) market.

5. Discharge by operation of law

Sometimes the law itself ends the contract, regardless of the wishes of the parties:

- **Death:** contracts that depend on the personal skill of a party (e.g. a famous artist to paint a portrait) end on that person's death. Other contracts may pass to the personal representatives.
- **Insolvency (bankruptcy):** under the **Insolvency Act, 2011**, when a person is declared bankrupt or a company is put in liquidation, the trustee or liquidator takes over the property and may end unprofitable contracts.
- **Merger:** where a lesser right is swallowed by a greater one, e.g. a tenant buys the house he rents, so the tenancy ends.
- **Material alteration of a written contract** by one party without the other's consent can free the other party.
- **Lapse of time (limitation):** under the **Limitation Act** of Uganda, under **section 3(1)(a)**, an action based on a simple contract must generally be brought within **six years** from the date the cause of action arose. After that, the right to sue is lost, although the debt is not wiped out in every sense.

Conclusion. A contract may end in a happy way (performance or agreement), in a disputed way (breach), through bad luck (frustration) or by force of law. Business managers must know these rules so that they can plan, draft clauses such as notice and force majeure clauses, and protect the business when things go wrong.

QUESTION THREE

The doctrine of privity of contract and its exceptions **25 marks**

Meaning. The word "privity" means a close, private relationship. The doctrine of privity of contract says that **only the people who are parties to a contract can enforce it or be bound by it**. A person who is not a party (a "third party") cannot sue on the contract, even if the contract was made for his benefit, and cannot be made to carry out duties under it. In simple words: a contract is a private matter between those who made it.

The doctrine has two sides:

1. A third party **cannot claim benefits** under the contract; and
2. A third party **cannot be burdened** (given duties) by the contract.

It is closely linked to the rule that **consideration must move from the promisee**: the person who wants to sue must have given something in return for the promise.

Leading authorities

Tweddle v Atkinson (1861): the fathers of a bride and groom agreed with each other to pay money to the groom. The bride's father died without paying. The groom sued, but failed, because he was not a party to the agreement between the two fathers and had given no consideration.

Dunlop Pneumatic Tyre Co v Selfridge (1915): Dunlop sold tyres to a dealer (Dew) on terms that the dealer would not sell below a fixed price and would get the same promise from anyone it sold to. Selfridge bought from Dew and sold below the price. Dunlop could not sue Selfridge because there was no contract between them. Lord Haldane said only a person who is a party to a contract can sue on it.

Scruttons v Midland Silicones (1962): stevedores (dock workers) who damaged a drum of chemicals could not rely on a limitation clause in a contract between the shipping company and the owner, because they were not parties to it.

> **Ugandan example:** Mr. Mugisha contracts with a private school in Wakiso to pay school fees for his niece, Aber. If the school wrongly expels Aber, it is Mr. Mugisha (the party who signed and paid), and not Aber, who in principle has the right to sue on the contract. Equally, if Mr. Mugisha fails to pay, the school cannot sue Aber's mother, who was not a party.

Reasons for the doctrine

- It respects freedom of contract: people should only be bound by obligations they chose.
- It would be unfair to let someone sue on a promise for which he gave nothing.

- It protects contracting parties from many claims by outsiders and allows them to change or end their contract freely.

Criticism: the rule can defeat the real wishes of the parties (as in Tweddle v Atkinson) and can cause injustice to the very person a contract was meant to benefit. This is why the courts and Parliament have created many exceptions.

Exceptions to the doctrine of privity

1. Agency. Where an agent makes a contract on behalf of a principal, the principal (who was not physically present) is the real party and can sue and be sued. The agent simply acts as a link. The Contracts Act, 2010 sets out these agency rules.

> E.g. a procurement officer of MTN Uganda signs a supply contract; MTN, not the officer, enforces it.

2. Trusts. Where a party to a contract holds a promise as a **trustee** for a third party, the third party (beneficiary) can enforce it through equity. In *Les Affréteurs Réunis v Walford (1919)* a broker could enforce a promise of commission made in a contract between a shipowner and charterer, because the charterer held the promise in trust for him.

3. Statutory exceptions. Parliament sometimes gives rights directly to third parties:

- **Third-party motor insurance:** under Uganda's **Motor Vehicles Insurance (Third Party Risks) Act**, a person injured by an insured vehicle can claim against the insurer even though he is not a party to the insurance policy. E.g. a pedestrian knocked down by a taxi on Entebbe Road claims from the taxi's insurer.
- **Negotiable instruments:** under the Bills of Exchange Act, a person who receives a cheque in good faith (a "holder in due course") can sue on it, though he was not a party to the original deal.
- **Life insurance for family:** policies taken out for the benefit of a spouse or children may be enforced by them.
- In England, the **Contracts (Rights of Third Parties) Act 1999** now lets a third party enforce a term that clearly confers a benefit on him – a reform often cited as a model.

4. Collateral contracts. The court may find a second, separate contract between one party and a third party. In *Shanklin Pier v Detel Products (1951)* a paint maker promised the pier owners that its paint would last seven years. The pier owners told their contractors to buy that paint. When it failed, the pier owners could sue the paint maker on a collateral contract, even though the paint was bought by the contractors.

> E.g. a manufacturer's representative assures a Kampala developer that roofing sheets bought through a hardware shop will not rust for 10 years.

5. Assignment. A party can transfer (assign) his rights under a contract, such as the right to receive payment of a debt, to a third party, who can then enforce it. E.g. a supplier sells its invoices owed by a government ministry to a bank (invoice discounting); the bank can collect the money.

6. Restrictive covenants on land. Promises about how land will be used can "run with the land" and bind later buyers who know of them – *Tulk v Moxhay (1848)*, where a buyer of Leicester Square was bound by a promise to keep it as a garden.

7. Personal representatives and family contracts. In *Beswick v Beswick (1968)* a nephew promised his uncle to pay a pension to the uncle's widow. She could not sue in her personal capacity, but she could as administratrix (personal representative) of the uncle's estate, and the court ordered specific performance. In *Jackson v Horizon Holidays (1975)* a man who booked a family holiday recovered damages for the disappointment of his whole family.

8. Negligence (tort) claims. Even without a contract, a third party who is injured by a defective product may sue the manufacturer in negligence – *Donoghue v Stevenson (1932)* (snail in a bottle of ginger beer). E.g. a person who falls sick after drinking a soda bought for her by a friend can sue the manufacturer in negligence, even though she did not buy it.

9. Contracts made through a club or association and other situations where a person signs on behalf of a group, and **covenants in a marriage settlement** for children, are also recognised in some cases.

Conclusion. Privity is a basic rule which keeps a contract within the circle of those who made it. However, rigid use of the rule can be unfair, so agency, trusts, statutes, collateral contracts, assignment, land covenants and tort law provide ways for third parties to obtain justice. A business manager must therefore make sure that the right entity signs each contract, and where a benefit is meant for someone else, the contract should be drafted to make this enforceable.

QUESTION FOUR — SHORT NOTES

(a) Rights of an agent

An agent is a person employed to act for another (the principal) in dealings with third parties, e.g. a clearing and forwarding agent at Malaba border, an estate agent, or a mobile money agent. The Contracts Act, 2010 and the common law give the agent the following rights against the principal:

1. **Right to remuneration (payment):** the agent is entitled to the agreed commission or fee once he has done what he was hired to do (**section 153**, Contracts Act, 2010). Under section 154 an agent guilty of misconduct loses payment for that part of the business. If no amount was agreed, a reasonable sum is payable – *Way v Latilla (1937)*. He is not entitled to payment for business he did not actually bring about.
2. **Right to indemnity (reimbursement):** the principal must repay the agent for all lawful expenses and losses incurred while carrying out his authority, and for acts done in good faith (**section 156**) – *Adamson v Jarvis (1827)*. E.g. a clearing agent who pays URA taxes on a client's goods can recover that money.
3. **Right of lien:** the agent may keep the principal's goods or documents in his possession until he is paid his commission, disbursements and charges (**section 155**).
4. **Right to compensation for injury** caused by the principal's neglect or lack of skill (**section 158**).
5. **Right of stoppage in transit** where the agent has paid for goods with his own money and the principal becomes insolvent.
6. **Right to be protected** from the principal's unlawful acts – the agent cannot be forced to do something illegal, and is not liable to indemnify for it.

(b) Acceptance

Acceptance is the final and unconditional agreement by the offeree to all the terms of an offer. Once acceptance is communicated, a binding contract is formed. The main rules are:

- **It must be unconditional and match the offer exactly** ("mirror image" rule). A reply which changes the terms is a **counter-offer** and kills the original offer – *Hyde v Wrench (1840)*.
- **It must be communicated** to the offeror. Silence is not acceptance – *Felthouse v Bindley (1862)*.
- **It can be by words or conduct** – *Brogden v Metropolitan Railway (1877)*; and the offeror may waive communication, as in *Carlill v Carbolic Smoke Ball Co (1893)*.

- **Postal rule:** acceptance by post is complete when the letter is posted – *Adams v Lindsell (1818)*.
- **Instant communication** (telephone, email, WhatsApp) takes effect when received – *Entores v Miles Far East (1955)*. Uganda's **Electronic Transactions Act, 2011** recognises contracts formed by electronic messages.
- **It must be made by the offeree** (or his authorised agent), in the manner prescribed, and while the offer is still open.

> **Example:** Kizza sends a WhatsApp message to a Kampala car dealer: "I offer UGX 25m for your Premio." The dealer replies "I accept." A contract is formed when Kizza receives the reply. If the dealer had replied "Yes, but for 27m," that would be a counter-offer.

(c) Duress

Duress means forcing a person to enter a contract by unlawful pressure, so that the person does not agree freely. Under **section 13** of the Contracts Act, 2010, consent is free only when it is not caused by coercion, undue influence, fraud, misrepresentation or mistake. **Section 2** defines **coercion** (the Act's word for duress) as committing, or threatening to commit, an act forbidden by law, or unlawfully detaining property, to make a person enter an agreement. Under **section 16**, a contract obtained by coercion is **voidable** at the option of the victim, meaning he may cancel it. Types of duress:

- **Duress to the person:** threats of violence or unlawful detention – *Barton v Armstrong (1976)*, where a contract signed under death threats was set aside.
- **Duress to goods:** unlawfully holding or threatening to damage a person's property.
- **Economic duress:** illegitimate commercial pressure which leaves the victim with no real choice – *Atlas Express v Kafco (1989)*, where a carrier refused to deliver unless paid more; and *Universe Tankships v ITWF (1983)*. Ordinary hard bargaining is not duress – *Pao On v Lau Yiu Long (1980)*.

The victim must act quickly once the pressure ends, or he may be taken to have accepted the contract – *North Ocean Shipping v Hyundai (The Atlantic Baron) (1979)*.

> **Example:** A landlord in Kawempe locks a tenant's shop with all the stock inside and refuses to open unless the tenant signs a new lease at double the rent. The new lease was signed under duress and can be cancelled.

(d) Contractual capacity of a minor

Capacity is the legal ability to enter a binding contract. Under **section 11** of the **Contracts Act, 2010**, a person has capacity if he is **18 years or above**, of sound mind, and not barred by law. Article 257 of the **Constitution** also defines a child as a person below 18. However, the same

section gives a person of **16 years or above** capacity to contract for work as allowed under Article 34(4) and (5) of the Constitution. A minor is protected because he may lack experience and judgement. The rules are:

1. **Contracts for necessaries are binding:** a minor must pay a reasonable price for necessaries – goods and services suitable to his condition in life and his actual needs at the time (food, clothing, medical care, education). In *Nash v Inman (1908)* a student who bought 11 fancy waistcoats did not have to pay because he already had enough clothes. E.g. school fees, uniform and meals for a 16-year-old at a Kampala school are necessaries.
2. **Beneficial contracts of service** (employment, apprenticeship, training) bind the minor if, on the whole, they are for his benefit – *Roberts v Gray (1913)*; *Doyle v White City Stadium (1935)*.
3. **Voidable contracts:** contracts of a continuing nature, such as leases, partnerships or buying shares, bind the minor unless he cancels them before or shortly after turning 18.
4. **Other contracts** (e.g. loans, trading contracts) generally **cannot be enforced against the minor**.
5. **Restitution:** a minor who obtained goods by lying about his age may be ordered to return them if he still has them, but cannot be made to pay the price – *Leslie v Sheill (1914)*.

> **Business lesson:** a phone dealer in Kampala who sells a smartphone on credit to a 15-year-old may not be able to recover the balance. Banks and telecom companies therefore require a National ID showing the customer is 18 or above.

(e) Intention to create legal relations

For an agreement to be a contract, the parties must intend that it will be legally binding and enforceable in court. **Section 10(1)** of the Contracts Act, 2010 expressly requires an **intention to be legally bound**. The courts use two presumptions (starting points):

- **Social and domestic agreements:** presumed **not** to be intended to be binding. In *Balfour v Balfour (1919)* a husband's promise to send his wife a monthly allowance was not enforceable. In *Jones v Padavatton (1969)* a mother's promise to support her daughter studying law was not binding. The presumption can be rebutted, e.g. where spouses have separated – *Merritt v Merritt (1970)*.
- **Commercial and business agreements:** presumed to be intended to be binding. In *Edwards v Skyways (1964)* a promise to pay a redundant pilot was binding. This can be rebutted by clear words, e.g. an "honour clause" in *Rose & Frank v Crompton (1925)*. Advertisements promising a reward can show intention – *Carlill v Carbolic Smoke Ball Co (1893)*.

> **Examples:** A father in Gulu promising his son a goat if he passes UACE is a domestic promise, not a contract. But when a company like a soda manufacturer runs a promotion "find the winning bottle top and win UGX 1,000,000", it intends legal relations and must pay the winner.

— END —